BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 & 25-G-0073

May 30, 2025

Prepared Testimony of:

Dustin M. J. Madsen, CPA, CDP,
CRRA, CA (CAN), CPA (CAN)
Emrydia Consulting Corporation
401 Ryland St. Suite 200-A
Reno, NV 89502

I. INTRODUCTION AND OVERVIEW

Q. Would you please state your name and business address?

A. My name is Dustin M. J. Madsen, and my business address is 401 Ryland St. Suite 200-A, Reno, NV 89502.

Q. On whose behalf are you testifying in these proceedings?

A. I am testifying on behalf of the Utility Intervention Unit (UIU) of the New York State Department of State's Division of Consumer Protection.

Q. By whom are you employed, in what capacity, and what are your professional backgrounds and qualifications?

A. I am the President of Emrydia Consulting Corporation (Emrydia), which is a consulting firm providing services to parties participating in the electric, gas and water utility industry in

North America.

I have more than 20 years of experience in auditing, accounting, and regulated businesses. I am a Certified Public Accountant registered with the Illinois Department of Financial and Professional Regulation. I am also a Certified Depreciation Professional with the Society of Depreciation Professionals and a Certified Rate of Return Analyst with the Society of Utility and Regulatory Financial Analysts. I am also a Canadian Chartered Professional Accountant and Chartered Accountant. My curriculum vitae is attached to this evidence as Exhibit_(DMM-2) and provides a complete description of my qualifications, regulatory and professional experience.

I have provided consulting services and been accepted as an expert before regulators on a wide range of issues, including but not limited to

cost-of-service, rate design, cost allocation, revenue requirements, prudence assessment, depreciation, cost of capital, income taxes, deferral accounts, working capital, business valuation, and information technology.

Prior to forming my consulting practice, I held the position of Manager of Regulatory, Manager of Forecasts and Budgets, and Manager of Tax in a large regulated electric distribution utility with a multi-national parent (Fortis Inc.) owning utilities in both the United States and Canada. Subsequently, I provided consulting services for AltaLink, which is a large electric transmission utility owned and operated by Berkshire Hathaway Energy. While in these roles, I was responsible for the preparation and defense of all regulatory applications, including general rate applications, deferral applications, cost of capital applications, debt applications, various miscellaneous applications, and appeal

application filings.

I also provided consulting services to Berkshire Hathaway Energy related to business acquisitions and valuations, where I constructed a model to support the acquisition and valuation of various utilities. Since leaving Berkshire Hathaway Energy in 2016, I have provided consulting services to regulators, interveners, and utilities on a broad base of issues.

Q. Have you previously testified in proceedings before the New York Public Service Commission (PSC or Commission) or any other state utility commission?

A. Yes. I testified on behalf of UIU in Cases 24-E-0322 & 24-G-0323 and 24-E-0461 & 24-G-0462, which are currently pending before the Commission. I have also testified before the Mississippi Public Service Commission and the Public Utilities Commission of Ohio, as well as several regulators

in Canada.

Q. What is the scope of this testimony?

A. I will be responding to the prepared testimony of Consolidated Edison Company of New York, Inc. (Con Edison or the Company) Accounting Panel pertaining to electric and gas, Electric Infrastructure and Operations (EIO) Panel, Gas Infrastructure and Operations (GIO) Panel, Demand Analysis and Cost of Service (DA&COS) Panel, and sections III and IV of the Gas Rates Panel. My direct testimony is focused on the following areas broken down by panel:

A. Accounting Panel

- Operations and maintenance (O&M) costs.
- Pension and Other Post-Employment Benefits (OPEB).
- Property taxes.
- Deferral accounts and reconciliations.

B. EIO Panel

- o Capital forecasts.

C. Electric DA&COS Panel

- o New York Power Authority (NYPA) rates.

D. Gas Rates Panel

- o Cost allocation.

I reserve the right to comment on other issues during rebuttal, in response to proposals offered by other parties, or information that becomes available after this testimony was prepared. The absence of discussion of other topics in this testimony should not be construed as support for, or opposition to, the Company's positions.

Q. How is your testimony organized?

A. This testimony has six sections. First, in this section, I introduce my testimony, background, and experience. Second, I summarize my recommendations. Third, I respond to certain recommendations of the Accounting Panel and outline my recommended adjustments to Operation

and Maintenance (O&M expenses), pension and OPEB costs, property taxes, deferrals, and reconciliations. Fourth, I respond to the EIO Panel recommendations regarding capital forecasts and provide my recommended capital forecasts for electric and gas. Fifth, I comment on the electric cost-of-service (COS) and recommend changes pertaining to the NYPA service class. Sixth, I comment on the gas COS recommendations and recommend reporting changes for the classification of certain costs going forward.

Q. Have you prepared any exhibits to be filed with your testimony?

A. Yes. The following is a list of the exhibits I have relied upon in preparing my testimony:

- Exhibit__(DMM-1), which consists of the Company's responses to Information Requests (IRs) that I relied upon in preparing this testimony.
- Exhibit__(DMM-2), which provides a current

version of my Curriculum Vitae, including a list of major proceedings I have been involved in.

- Exhibit__(DMM-3), which provides a revised schedule of electric O&M costs based on the Company's Exhibit___(AP-E3).
- Exhibit__(DMM-4), which provides a revised schedule of gas O&M costs based on the Company's Exhibit___(AP-G3).
- Exhibit__(DMM-5), which provides a revised calculation of the Company's labor escalation factor for the rate years and is used as an input into Exhibit___(DMM-3) and Exhibit _ (DMM-4).
- Exhibit__(DMM-6), which calculates a pension and OPEB historical forecasting variance based on the information provided by the Company in response to UIU-6-68, Attachment 1.
- Exhibit__(DMM-7), which provides a historical forecasting accuracy analysis of the Company's labor and other controllable operating costs.

- Exhibit__(DMM-8), which provides a revised forecast of electric capital expenditures based on the Company's response to DPS-2-266, Attachment 1.
- Exhibit__(DMM-9), which provides the historical summer peak demand by area station and was derived from the Company's response to UIU 6-52 Attachment 1.
- Exhibit__(DMM-10), which compares the forecast to actual load growth for the Company over the past five years and was derived from the Company's response to UIU 6-54, Attachment 1.

II. SUMMARY OF RECOMMENDATIONS

Q. Can you please summarize the recommended adjustments and other changes you propose to the Company's applied for revenue requirement, capital forecasts, COS and other issues?

A. The following list provides a summary of all my recommendations in this matter:

- Accounting Panel related recommendations:

- For electric, I recommend a reduction in O&M expenses to account for a reduced level of program changes and assumed full time equivalents (FTEs), higher assumed vacancies, an increased pension and OPEB credit, and disallowance of supplemental retirement income plan costs of $467,725,000 in Rate Year 1, $507,130,000 in Rate Year 2, and $522,962,000 in Rate Year 3.
- For gas, I recommend a reduction in O&M expenses to account for a reduced level of program changes and assumed FTEs, higher assumed vacancies, an increased pension and OPEB credit, and disallowance of supplemental retirement income plan costs of $104,063,000 in Rate Year 1, $105,504,000 in Rate Year 2, and $105,584,000 in Rate Year 3.
- I recommend the Commission direct the Company to update its property tax

forecasts to reflect the reductions in electric capital that I recommend for the EIO panel, and to deny the Company's proposed changes to the property tax reconciliation mechanism.

- I recommend the Commission deny changes to deferral accounts and reconciliation proposed by the Company, including denial of the Wildfire Response Deferral Account, and the Company's proposed changes to the capital reconciliation mechanisms.
- I also recommend denial of the Company's proposed changes to the interference O&M expense reconciliation and the long-term debt rate reconciliation.

- EIO Panel related recommendations:
  - I recommend a reduction in electric capital forecasts to reflect a more reasonable load forecast and feasible

capital spend program of $1,519,456,000 in Rate Year 1, $1,811,691,000 in Rate Year 2, and $1,953,477,000 in Rate Year 3.

- Electric DA&COS Panel related recommendations:
  - I recommend that the Commission direct the Company to break out the NYPA service class into the comparable Con Edison service classes to better reflect cost causation, fairness and provide overall alignment in the rates for Con Edison's customers.
- Gas Rates Panel related recommendations:
  - I recommend the Commission direct the Company to prepare a revised Embedded Cost of Service Study (ECOSS) as part of its next rate application that better reflects the classification of customer-related and demand-related costs based on the actual design of the

gas system rather than based on a notional minimum system approach.

III. ACCOUNTING PANEL ISSUES

Q. Please summarize the areas of the Company's Accounting Panel Testimony that you oppose or recommend further study.

A. My testimony addresses the following four areas of the Accounting Panel Testimony:

A. O&M expenses.

B. Pension and OPEB.

C. Property taxes.

D. Deferral accounts and reconciliations.

A. O&M Expenses

Q. Please summarize the Company's requested O&M expenses.

A. As explained on page 7 of the Direct Testimony of the Accounting Panel, the Company is requesting approval of a $360 million and $100 million increase in electric and gas O&M costs,

respectively, relative to the most recently approved levels.

Q. Are the applied for O&M expenses just and reasonable?

A. No. The applied for O&M expenses, which are increasing at an unsustainable and frankly unrealistic rate, suffer from a lack of detailed supporting evidence. Given the magnitude of the applied for increases in O&M expenses, I would expect the Company to provide comprehensive and detailed supporting evidence for the forecasts.

Beyond the general lack of detail supporting the requested O&M costs in Rate Year (RY)1, and each of the two informational rate years (RY2 and RY3), I also discuss in further detail the Company's program changes driven by unrealistic FTE increases, excessive inflationary increases for labor costs, and the failure to include a reasonable assumption regarding vacancies.

A common theme I address in my testimony below is the practical implications of what the Company is proposing. Based on my experience in other jurisdictions, including New York, many utility companies are seeking to retain the exact same resources to complete a forecast level of work that is likely unattainable, and not in the public interest. This common reliance on the same resources by all utilities without clear staffing and feasibility plans from the Company to achieve its ambitious staffing goals inevitably drives many of my recommended O&M cost decreases.

Q. Please explain why the Company's proposed FTE and related increases for electric are unreasonable as outlined in the program changes proposed by the Company.

A. As shown in Exhibit_(AP-E3), Schedule 6, the Company's electric O&M expenses are in fact decreasing by $36,512,000 due to the "Initial Normalizing Adjustment" (decrease of

$538,946,000) and "Initial Program Changes" (increase of $502,434,000). However, when these changes are focused on labor driven costs, the differences are stark.

I have prepared Exhibit___(DMM-3), which was created based on the Excel version of Exhibit_(AP-E3) provided by the Company. At row 70 of the "O&M #6" tab, contained Exhibit AP-E3 Schedule 6, I have calculated the labor driven changes as a decrease of $40,398,000 due to the "Initial Normalizing Adjustment" and an increase of $354,232,000 due to the "Initial Program Changes", for a net increase proposed by the Company of $313,834,000.

This $313,834,000 increase proposed by the Company represents an increase of 21.3 percent over the comparable costs for the twelve months ended September 30, 2024 of $1,471,942,000. I have never witnessed a utility successfully execute an increase in work of this magnitude, which can only

be fairly construed as transformative and highly disruptive. The practical implications of increasing the size and scope of the O&M function of the business at the same time as the Company increases its capital spending cannot be understated.

This fact appears to be acknowledged to some extent by the Company's EIO Panel Direct Testimony, at page 73, when it states:

> Yes. The job market remains highly competitive, both nationally and locally, and the Company anticipates challenges attracting the right talent for some of these positions.

Considering this acknowledgement, the Company then provides the following limited plan to mitigate the expected issue of successfully retaining all the forecast FTEs:

> Con Edison continues to take steps to bolster hiring practices, recruit high-performing individuals, and

increase retention rates across the organization.

The approach suggested by the Company can be described as maintaining the status quo while planning to pursue a change in staffing that will fundamentally change the status quo.

In my opinion, this approach will not succeed considering the magnitude of the proposed changes. As shown in response to DPS-2-266(2.c.), the Company is proposing to add 795 electric FTEs between the linking period and RY1, as well as a further increase of 384 FTEs in RY2 and RY3 combined. The increase in the linking period and RY1 of 795 FTEs represent an increase of 14 percent above the 2024 actual FTEs of 5,770.

Additionally, at a total Company level based on the support provided by the Company for the Program Changes included in Exhibit_(AP-3), Schedule 6, the Company is forecasting a total

increase in FTEs of 3,067 over the rate years, with 2,415, 423, and 229 FTEs added in each of RY1, RY2, and RY3, respectively. This pace of growth is neither realistic nor achievable.

The increase in FTEs is driving the aforementioned increase in electric O&M costs leading into RY1 of $313,834,000. It is also driving a corresponding increase in gas O&M costs of $65,063,000 per Exhibit_(DMM-4).

The UIU asked a series of information requests to obtain further information from the Company regarding its approach to planning and addressing the feasibility of these staffing increases. In response to UIU-6-57, the Company provided limited additional information to support its planned staffing levels or how those levels would be achieved. Instead, the Company merely referred back to its white papers included in testimony, which only provide a forecast of spending but does

not specifically explain how that spending will actually be achieved in light of the practical considerations faced by the Company in attempting to execute such a significant change in its business.

In my opinion, the Company has not adequately supported its ability to achieve the lofty staffing plans outlined in its testimony. That said, I do acknowledge that the Company is likely to experience some required and likely significant change in its electric business going forward due to increasing electrification and the needs of its customers.

However, as I explain in my testimony regarding the planned capital forecasts included in the EIO Panel, the Company's shift from a just in time approach to a risk-based approach to many capital projects is likely accelerating the project timing much faster than is realistic or required.

The same can be said of FTEs.

The problem is that the Company has been unable to provide any realistic plan that provides a feasible approach to addressing its short and long-term staffing needs. For this reason, I am unable to rely on such evidence to recommend a moderated approach to the forecast program changes and thus must take a more pragmatic approach to recommending a reasonable level of staffing changes.

In my opinion, utilities experiencing transformational changes can successfully achieve an increase in staffing and program changes of between one to four percent a year, with consecutive increases in staffing at the higher end being much less sustainable in the long-term. The only experience I have with a utility increasing at a rate greater than this occurred when the utility subcontracted out the entirety

of its engineering procurement and construction management function. However, in that case the efforts took years, and, in this case, Con Edison has provided no evidence that it contemplates similar efforts in the interim, or that such efforts would be reasonable.

Therefore, in Exhibit_(DMM-3) I have included a reduction to the overall proposed level of program changes that reflects an increase in staffing before other adjustments that I discuss below of four percent over historical levels for RY1. I recommend a much more limited two percent increase beyond RY1 at this time as there is simply too much uncertainty outside the first rate year to support a material increase in forecast staffing needs and indeed the Company's ability to achieve further material staffing increases.

The impact of this adjustment as shown in Exhibit_(DMM-3) is a reduction in RY1 of

$297,942,000, which carries over to RY2 and RY3 before considering inflationary and other adjustments.

Q. Please explain why the Company's proposed FTE and related increases for gas are unreasonable as outlined in the program changes proposed by the Company.

A. For all of the same reasons I outlined above for the electric business, I also consider that the gas O&M expense forecasts are unreasonable. To support my analysis, I have prepared Exhibit_(DMM-4), which is created in the same manner as Exhibit_(DMM-3) based on the Company's Exhibit_(AP-G3).

I have included similar growth assumptions in FTEs for gas, noting that a sustained level of growth in the face of climate change considerations is likely generous. Nevertheless, on this basis I conservatively recommend a reduction in RY1 gas

O&M expenses of $57,587,000 to account for reductions to the Company's recommended program changes.

Q. Please explain the changes you propose to the electric and gas labor vacancy rate.

A. A vacancy rate represents the difference between the Company's forecast positions at a point in time and the actual number of positions that are filled at that point. For example, if a Company has 5,000 total positions and only 4,800 of them were filled on average for the year, then the average vacancy rate for the year would be 4 percent ((5,000-4,800)/5000).

There is always a vacancy rate for every company with a significant number of employees, like Con Edison, as there will always be some level of turnover or vacancy relative to the planned level of staffing. These vacancies can occur for many reasons including but not limited to an inability

to find a proper candidate for the position, promotions leaving a position vacant, retirements, terminations, and the creation of new positions, which the Company is proposing in its application.

From a rate setting perspective, the Commission should set rates based on the net positions the Company is actually expected to fill rather than the forecast level of positions. This sets the rates at a level that is reflective of a realistic staffing plan and the expectation of higher turnover and difficulties filling vacancies.

As explained in the Company's response to UIU-5-44, the base forecasts and incremental forecasts do not appear to incorporate an assumed level of vacancy:

> The Company's FTE requests included in the Company's request are for incremental work forecasted in the Rate Year, not for filling vacant positions.

The Company's response is somewhat vague, but it appears that the Company did not contemplate any level of vacancy in its requested FTEs or else this information would have been provided. The Company does propose a one percent productivity factor adjustment, but this adjustment is not reflective of an assumed level of vacancies, as the Company explained in response to UIU 5-41. I will discuss the productivity adjustment in further detail below.

As part of information request UIU-5-43, UIU asked the Company to provide for the last five years its total number of positions, the actual number of positions filled on average, and the vacancies. In response to UIU 5-43, the Company referred the UIU to a confidential response to DPS 19-469. I have reviewed the response provided therein and note that it is unresponsive to the UIU's request. Specifically, DPS-19-469 does not provide the historical positions, headcount and vacancies for

the last five years as requested, and instead only appears to provide headcount for the last three years (2022-2024).

For this reason, I conclude that the Company does not track its vacancies each year, which is concerning. For the same reason, I have determined that I am unable to derive a reasonable vacancy rate based on the Company's historical experience and instead must rely on benchmarks.

In my opinion, a reasonable level of vacancy for RY1 and beyond would be 4 percent, which is reflective of the expected difficulty, which the Company acknowledged as cited above, in retaining the FTEs it is forecasting in the rate year, as well as continuing to retain existing FTEs.

I do not recommend the use of variable vacancy rates for either RY2 or RY3 at this time as I expect that issues adequately staffing the

forecast increase in employees while maintaining the existing complement of employees will persist going forward. Additionally, the ordinary level of vacancy experienced by utility companies based on my experience is between three and five percent during normal operating conditions, and a rate of four percent falls squarely in the middle of that range.

The impact of a four percent vacancy rate on the RY1 O&M expenses is shown in Exhibit___(DMM-3) for electric as $54,964,000, which carries forward to RY2 and RY3 subject to other adjustments for inflation. In Exhibit_(DMM-4) for gas the equivalent reduction is $15,370,000.

Q. Please explain the changes you propose to the electric and gas labor escalation rate.

A. The Company has assumed an escalation rate of four per cent per year for labor costs. This escalation rate applies to both management and non-

management labor costs.

I recommend that the escalation rate for non-management employees be equal to the four percent negotiated for July 2025, as I accept that this rate has been negotiated between the Company and its bargaining unit employees. However, thereafter, I recommend an increase of 2.5 percent in place of the Company' forecast increase of 4.0 percent. For management employees, I recommend a 3 percent escalation rate for each year. While the total percentage increase for non-management employees under these levels appears lower, on a compounded basis after considering progression increases, the compounded salary increase for non-management employees is 16.81 percent from September 2024 to December 2028 compared to management employees of 12.55 percent for the same period. These values are available from Exhibit_(DMM-5) in the "RY's average straight time" tab. I consider this result to be reasonable

overall given the higher average per week starting compensation for management employees relative to non-management employees.

Regarding management increases, notwithstanding my above recommendations, I accept that the Commission is separately reviewing management incentive compensation in Case 25-M-0043. I would accept the Commission's findings on management incentive compensation programs in that case based on its review of the issues but consider the level I recommend for salary escalation being a reasonable starting point for forecast purposes.

Over the long-term, salary escalation rates should align with the rate of inflation. Otherwise, the overall rate of salary increases will outpace the cost of living which is not aligned with the intent of salary increases in general. The salary escalation rates I recommend

above, when combined with the productivity adjustment proposed by the Company result in escalation rates that closely approximate the Company's own forecast level of inflation for other costs included in the application.

Exhibit___(DMM-5) supports my revised calculation of the labor escalation rates for management and non-management employees. This information is then moved into Exhibit___(DMM-3) and (DMM-4) to calculate the impact on O&M expenses using the revised labor escalation rates.

The impact of this adjustment for electric and gas O&M expenses amounts is reflected in the overall changes for each line item.

Q. Does the 1% productivity adjustment discussed at page 65 of the Direct Testimony of the Accounting Panel address your concerns in relation to the labor cost escalation rates?

A. No. The Company explained the purpose of the productivity adjustment in response to UIU 5-41 as follows:

> The Company's current rate filing reflects a 1% annual labor productivity adjustment for each of the Rate Years. As explained on page 65, lines 4-6, of the Accounting Panel Testimony, the Company reduced the labor escalation factor by 2.25% for the 27 months from the Historic Year through the Rate Year, and 1% each year for Rate Year 2 and Rate Year 3.

A productivity adjustment is commonly applied in utility rate cases to reflect the expected level of savings a utility may achieve in the rate year that are not reflected in the base forecasts. In this case, the Company has provided no context for why the 1 percent productivity adjustment is reflective of the expected savings. This is an important consideration given the magnitude of the forecast cost increases.

Therefore, while I accept inclusion of the

productivity adjustment and do not recommend a lower overall level of labor escalation due in part of the productivity adjustment, I do not consider that the adjustment addresses my other concerns with the forecast O&M expenses.

Q. Did you conduct any other analysis to support your above recommendations?

A. Yes. As an additional check on the above recommendations, I completed a forecasting accuracy analysis of the Company's actual to approved labor and controllable O&M costs for the last five years, which are consistent with the costs I have adjusted in my testimony above. This analysis is included as Exhibit___(DMM-006).

This exhibit has been prepared by combining the data provided by the Company in response to UIU — 40, Attachment A and DPS-1-38, Attachment A. Exhibit___(DMM-6) compares the actuals for the twelve months ended September 30, 2020 to 2024 to

the approved forecasts for the twelve months ended December 31, 2020 to 2024. While this compares two different periods, I am not largely concerned as the only costs unaccounted for in the actual results would be one quarter of inflation (i.e. from September to December of each year) which would not be material to the analysis.

As shown in Exhibit___(DMM-6), for electric operations, the Company spent less than the approved forecast over the last five years by $273,172,375.11 or 4.41% of total approved costs of $6,198,075,758.00. For gas operations the Company spent less than the approved forecast over the last five years by $129,589,078.36 or 7.91% of total approved costs of $1,638,613,771.27.

These results strongly suggest that the Company has a practice of spending less than the approved forecast historically. This may be due to an inability to spend to the approved forecast or a

conscious effort to find greater efficiencies. In my opinion, these results, which are compared to the approved forecast not the originally applied for costs, demonstrates that my recommended adjustments are reasonable and will better reflect the actual costs the Company is likely to experience in the rate years.

Additionally, in Exhibit__(DMM-3) and Exhibit__(DMM-4) I calculated the revised increase in labor and controllable operating costs based on my revised recommendations. As shown in Exhibit__(DMM-3) the revised electric labor and controllable O&M expense increases are 1.51 percent in RY1 followed by 4.21 percent in RY2 and 4.06 percent in RY3. These increases are reasonable when compared to the Company's own applied for increases of 25.54 percent, 7.12 percent, and 3.18 percent in RY1, RY2, and RY3, respectively.

In Exhibit__(DMM-4) the revised gas labor and controllable O&M expense increases are 3.14 percent in RY1 followed by 4.17 percent in RY2 and 4.08 percent in RY3. Once again, these increases are reasonable when compared to the Company's own applied for increases of 22.53 percent, 5.44 percent, and 3.63 percent in RY1, RY2, and RY3, respectively.

I accept that the Company will require some increase in its O&M expense levels to accommodate an expected increase in work, which is why I support the increases forecast above. Absent this acknowledgement and the need for some increase in work, I would have recommended lower O&M expense levels for the Company.

B. Pension and OPEB Expenses

Q. Please summarize the Company's requested pension and OPEB expense.

A. As explained on page 7 of the Direct Testimony of

the Accounting Panel, the Company is requesting approval of a $240 million and $20 million increase in electric and gas pension and OPEB costs, respectively, relative to the most recently approved levels.

The Company is also proposing the continuation of the full reconciliation of all pension and OPEB costs between the actual and approved costs.

Q. Are the applied for pension and OPEB costs just and reasonable?

A. I support the Company's proposed full inclusion of the estimated pension credit as well as the Company's reconciliation of pension and OPEB differences in annual rates.

Notwithstanding this support, I do have some concern regarding the inclusion of Supplemental Retirement Income Plan (SRIP) costs in the pension and OPEB costs. As explained by the Company at

page 90 of the Direct Testimony of the Accounting Panel, the SRIP balances are included in the forecast costs and "relate to the Company's long-term performance-based compensation for management employees."

As explained at pages 87 and 88 of the Direct Testimony of the Accounting Panel, the Company has removed from its revenue requirement similar compensation payment for executives related to variable pay tied to the Company stock price:

> We normalized the Rate Year amount to reflect elimination of costs associated with the executive variable pay plan and long-term equity grants. The Company is not seeking to recover these eliminated costs through rates in this proceeding, but, as noted above, reserves its rights to seek the recovery of such costs in future rate proceedings.

I agree with this exclusion and see no reason to include SRIP payments within rates. These payments are made exclusively to management

employees and are over and above the reasonable compensation paid to all other employees. For this reason, the benefit of the incremental cost to customers is limited. Accordingly, I recommend that the Company calculate the SRIP costs and remove those amounts from the rate years. The Company quantified these amounts in response to UIU-6-69 as $17,791,000, $17,311,000, and $14,523,000 in RY1 through RY3, respectively for electric. For gas, the amounts were $5,366,000, $5,168,000, and $4,336,000 in RY1 through RY3, respectively. These amounts are removed from Exhibit_(DMM-3) and Exhibit_(DMM-4) based on the detailed calculations performed in Exhibit_(DMM-6).

Regarding the remaining change in the pension and OPEB expenses relative to the previous level included in rates, I observe the Company's explanation regarding the changes in actuarial gains and losses which drive the level of forecast

costs. I also have reviewed the historical reconciliation of pension and OPEB costs in UIU-5-48, Attachment 1 and the actuarial reports included in UIU-5-49, Attachments 1 and 2.

Based on this review, I conclude that it is likely that the actual pension and OPEB expense will vary from the forecasts, likely materially. While this is concerning, that concern is largely mitigated by the Company's full reconciliation of these costs which I support.

Nevertheless, it is always preferable for the forecast costs included in base rates to be as accurate and reasonable as possible. In Exhibit__(DMM-6) I assessed the Company's historical actual pension and OPEB costs for gas and electric versus its approved funding. Based on that assessment I observed that the Company had over forecast pension and OPEB costs (i.e., understated the credit) for electric and gas by

$416,328,000 and $148,867,000, respectively from 2022 to 2024.

This is a significant difference and considering the much higher forecast credit for electric and gas in 2025, I recommend that the Commission approve a normalizing adjustment to the pension and OPEB forecasts consistent with the approach I calculated in Exhibit_(DMM-6). Rather than apply the observed forecasting error from prior years to the forecasts, I moderated the electric and gas forecast adjustments slightly to account for the higher forecast credit already proposed by the Company as well as taking into account the 2025 forecast levels.

In my opinion, the revised levels that I have calculated are much more likely to reflect future actual results based on historical results. Additionally, any differences will be reconciled through the existing pension and OPEB

reconciliation mechanism. As shown in Exhibit_(DMM-6) I have applied a normalizing adjustment for electric and gas of 15 percent and 60 percent, respectively. This adjustment reduces the pension and OPEB credit that would otherwise be proposed based on the historical forecasting accuracy for these costs. The normalizing adjustments are based on judgment as discussed earlier and are intended to provide for an overall level of pension and OPEB costs that are more consistent with 2025 levels, while also reflecting the historical trend in the costs.

The impact of this normalizing adjustment for electric is an increase in the pension and OPEB credit of $95,531,000 in RY1, $67,577,000 in RY2, and $86,348,000 in RY3. For gas, the impact of the normalizing adjustment is an increase in the pension and OPEB credit of $15,416,000 in RY1, $10,905,000 in RY2, and $13,934,000 in RY3. These changes are made before considering the

aforementioned reduction for SRIP costs.

C. Property Taxes

Q. Please summarize the Company's request related to property taxes.

A. As explained on page 7 of the Direct Testimony of the Accounting Panel, the Company is requesting approval of a $434 million and $64 million increase in electric and gas property taxes, respectively, relative to the most recently approved levels.

The Company is also proposing a change to the property tax reconciliation mechanism included in current rates. Specifically, as explained at page 121 of the Direct Testimony of the Accounting Panel the current reconciliation mechanism is as follows:

> Ninety percent of the variance between actual property tax expense and that in rates is reconciled via surcharge/sur-credit, with the Company's ten percent share of the

> variance subject to an annual cap equal to ten (10) basis points on common equity in Rate Year 1, five (5) basis points on common equity in Rate Year 2, and five (5) basis points on common equity in Rate Year 3.

As explained at pages 121 and 122 of the Direct Testimony of the Accounting Panel, in place of this reconciliation mechanism, the Company is proposing a full symmetric reconciliation of property taxes, with the continuation of the sharing mechanism for property tax refunds as described below:

> The Commission should continue the 86% customer / 14% Company sharing mechanism for property tax refunds, including credits against tax payments or similar forms of tax reductions (intended to return or offset past overcharges or payments determined to have been in excess of the property tax liability appropriate for Con Edison), net of costs incurred to achieve them, that exists under the current electric and gas rate plans.

Q. What changes do you recommend to the forecast property taxes and proposed reconciliation mechanism?

A. I recommend that the Commission direct the Company to quantify the incremental property taxes it is forecasting to pay as a result of the forecast capital additions in the rate year and remove the amounts that are relative to the capital forecast reductions, as I propose in my testimony below. Beyond this adjustment, I agree with the Company that property taxes are difficult to forecast and that the Company is largely unable to influence the amount of taxes it pays. Property taxes are a unique cost that the Company incurs. There is a clear benefit to the municipalities that it operates in, but it is a material cost paid for by ratepayers through the Company's proposed rates. At the same time, there is a clear benefit to the Company's electric and gas customers if the Company is incentivized to reduce the property tax payments wherever possible. While the Company cannot control the rate applied to its assets by municipalities, the Company can control the timing of new capital which can influence the

magnitude of property taxes paid.

For these reasons, I oppose the Company's proposal for full symmetric reconciliation of property taxes and instead recommend the Commission direct the continuation of the existing property tax mechanism.

D. Deferral Accounts and Reconciliations

Q. Please summarize the Company's requested deferral accounts and other reconciliation mechanisms.

A. I have addressed separately above the Company's proposed reconciliation mechanisms for pension and OPEB, and property taxes. Outside of these reconciliation mechanisms, the Company is proposing several other new deferrals, as summarized in the Direct Testimony of the Accounting Panel at pages 113-115:

i. Affordable Multifamily Electrification Pilot (Electric).

ii. Sulfur Hexafluoride Standards (Electric).

iii. NYC Revocable Consent Fees (Electric & Gas).

iv. Wildfire Response Deferral (Electric & Gas).

v. Management Audit Costs (Electric & Gas).

I take no position on any of the above deferrals outside ~~the Affordable Multifamily Electrification Pilot deferral and~~ the Wildfire Response Deferral as set out below. ~~I acknowledge and support the recommendations in the direct testimony of UIU's witness, Pooja Oberoi, regarding the denial of the Affordable Multifamily Electrification Pilot deferral. For this reason, I do not address it separately in my testimony.~~

Additionally, I caution the Commission with the approval of numerous new deferral mechanisms as it reduces the incentive for the Company to control costs that may be subject to the deferral.

Additionally, as my forecasting accuracy analysis in Exhibit__(DMM-7) demonstrates, the Company has not had significant difficulties keeping its costs over the last five years within the approved costs and indeed has achieved much lower costs overall than the Commission has approved. Therefore, I do not consider that a significant increase in the number of deferrals is required at this time given the directionally favorable forecasting risk experienced by the Company historically.

Q. Please explain why you oppose the proposed wildfire deferral mechanism.

A. The Company has provided limited detailed evidence either in the Direct Testimony of the Accounting Panel, or the EIO and GIO panels to support the implementation of a catch all wildfire response deferral mechanism.

While the Company may indeed experience cost increases in the future as a result of wildfire

events, I consider that it would be preferable for the Company to bring forward any specific costs it incurs for future consideration by the Commission for recovery rather than approve an advance deferral account mechanism. If costs are indeed material and greater than that assumed in the forecasts, then those costs could be assessed separately for recovery or the Commission could address the need for inclusion of forecast costs in future rate years to address wildfire risks.

Additionally, approval of a broad and open-ended deferral would significantly reduce the Company's risk by transferring that risk to customers. This transfer of risk is not evidently considered in the Company's request for return on equity. Therefore, if the deferral mechanism is approved, I recommend the Commission separately consider the impact of that approval on the overall risk of the utility and its fair return.

Q. Please outline your recommendations with respect to the changes to reconciliation mechanisms proposed by the Company.

A. The Company is proposing modifications to several existing reconciliations and deferrals as set out at pages 116-127 of the Direct Testimony of the Accounting Panel:

i. Electric and Gas Net Plant reconciliation.

ii. Interference O&M reconciliation (Electric and Gas).

iii. Energy Efficiency (Electric and Gas) reconciliation.

iv. Long-term debt cost rate reconciliation (Electric and Gas).

v. Legislative, Regulatory and/or Related Actions (Electric and Gas).

I address each of the proposed reconciliation mechanism changes in further detail below.

i. Electric and Gas Net Plant reconciliation

The Company is proposing to materially alter the Electric and Gas Net Plant reconciliation mechanism. As explained at page 116 of the Direct Testimony of the Accounting Panel, the current mechanism acts as follows:

> …the revenue requirement impact of actual electric and gas net plant (excluding net plant associated with AMI and CSS implementation) is subject to a downward reconciliation, with the possibility of limited upward reconciliation of certain municipal infrastructure support (interference) costs as specified in the rate plans.

The Company is proposing new carve outs permitting upward reconciliation of interference costs, which is viewed as a separate reconciliation per above, as well as a carve out for incremental electric New Business costs.

The Company is also proposing a change to the "new laws" provision of the reconciliation to account for the impacts of tariffs on the cost of goods. Specifically, at page 119 of the Direct Testimony

of the Accounting, the Company makes the following requested change to the capital reconciliation mechanism for "new laws":

> To align the "new laws" accrual/deferral with the net plant mechanism, the Company is proposing to record the incremental carrying charge (weighted average cost of capital plus depreciation) on the net plant balance for each electric and gas that exceeds the aggregate net plant targets due to the impact of new laws (e.g., impacts of tariffs on the costs of goods, either directly or indirectly incurred).

I oppose these changes. The existing forecasts proposed by the Company leave limited room for further upward cost increases. Furthermore, approval of these changes would discourage the Company from managing its capital budget as an overall envelope of funding and thus prioritize spending as required in the presence of new cost pressures or unforeseen needs. Even factoring in the reasonable reductions to the capital forecasts I propose in my evidence, I would not

support approval of these changes in the reconciliation of costs for the above reasons.

Additionally, the proposed "new laws" change would also discourage the Company from seeking out alternative suppliers that are not subject to tariffs where those suppliers exist. It is also not clear how such a provision would work relative to the existing capital forecasts or my revised capital forecasts, as it is clear that these forecasts contemplate some degree of incremental capital funding due to inflationary and other cost pressures as I explain below.

Instead, I recommend that the existing reconciliation mechanism be continued without modification. I also oppose the proposed changes to the interference capital reconciliation for the same reasons. Finally, I recommend that the reconciliation only be triggered if total capital, including the limited upwards

interference capital, exceeds the approved budget.

ii. Interference O&M reconciliation (Electric and Gas)

Regarding interference O&M expenses, the Company is proposing a full symmetrical reconciliation of costs in place of the existing asymmetric reconciliation, which permits the reconciliation of 80 percent of any variations from actual to approved interference O&M costs within a 15 percent band.

The Company suggests that these changes are required due to the inability of the Company to forecast interference costs. In my opinion the existing reconciliation mechanism provides ample protection to both customers and the Company while also providing a strong incentive to control its overall spending on O&M costs, including interference costs. Implementing the changes

proposed by the Company would remove any incentive to balance overall O&M costs for the Company with unexpected interference cost changes.

Accordingly, I recommend that the proposed changes related to the O&M interference costs be denied and the current reconciliation of such costs be continued.

iii. Energy Efficiency (Electric and Gas) reconciliation

I take no position on these changes.

iv. Long-term debt cost rate reconciliation (Electric and Gas)

Finally, the Company is proposing a change to the Long-Term Debt Cost Rate Reconciliation (LTDCRR). The LTDCRR as currently structured provides for a true up in the rate of variable rate debt, while the Company is proposing a true up in the rate of all debt to the applied for weighted average debt rates in the Application.

I do not support the proposed LTDCRR in the context of a single rate year. While there is some volatility in the debt markets that volatility in the context of a single rate year is not sufficient to warrant a full reconciliation of the weighted average cost of long-term debt. Additionally, I note that my proposed reductions to the capital forecasts will limit the amount of debt required to be issued by the Company to a more realistic level, which would also materially reduce the risk of forecasting error.

v. Legislative, Regulatory and/or Related Actions (Electric and Gas)

I take no position on these changes.

Q. Would your proposed adjustments to O&M expenses impact any other amounts forecast by the Company?

A. Yes. The most notable impact would be in relation to the Company's forecast working capital and any overheads capitalized to capital projects. I

recommend that the Commission direct the Company to update all related schedules to reflect the proposed O&M expense reductions set out above as part of a compliance filing.

IV. EIO PANEL

Q. Please summarize the areas of the Company's EIO Panel Testimony that you oppose or recommend further study in relation to.

A. I am opposed to the overall level of electric capital spending proposed by the EIO Panel. As I explain in my testimony below, the proposed level of spending is based on what appear to be unrealistic load growth assumptions, an improper change in forecasting methodology, and the lack of any detailed plan to actually complete the projected capital spending as proposed.

Additionally, while my evidence does not provide specific recommendations on other capital spending outside of electric capital, I note that the overall capital spending forecast by the

Company is increasing at what appears to be an unreasonable level. While these levels are primarily driven by electric capital spending, I would simply note that my silence on the other capital spending proposed by the Company should not be construed as my support for that spending. I encourage the Commission to approve an overall level of capital for the Company that is realistic, achievable, and most importantly, no more than is required to permit the Company to maintain a safe and reliable electric and gas distribution system.

Q. Please summarize the level of electric capital proposed by the Company relative to the historical spending levels.

A. The Company is proposing a dramatic increase in electric capital spending over historical levels. As shown in Exhibit_(DMM-8), the Company's actual capital spending has increased from $1,171,703,000 in 2020 to a forecast of

$2,356,669,000 in 2025 and is projected to increase even further to $3,960,488,000 in RY1, $4,393,798,000 in RY2, and $4,632,319,000 in RY3.

It is important that I provide context for the forecast spending levels. The Company is proposing to spend $12,986,605,000 over the three rate years, which is approximately 73% more than the Company spent over the previous five years (2020-2024) of $7,495,641,000.

While the magnitude of the forecast spending is not definitive evidence of the unreasonableness of the spending, I do consider that this evidence is a relevant consideration for the Commission for two reasons.

First, as I discuss below, the sheer magnitude of spending is unsupported by reasonable evidence, likely unachievable, and would unnecessarily accelerate the required spending relative to more

realistic needs. Second, the Commission must be mindful of the precedent it will set if the applied for capital is approved. Once a utility initiates a step change of this magnitude there are many other future considerations that become relevant. These include the need for salary increases for many staff in the future, possible future workforce restructurings if the capital program declines, and numerous other relevant long-term considerations that will directly impact the rates customers pay. Thus, the Commission should be mindful of not only the impact on current ratepayers but also the impact on future ratepayers by approving the capital forecasts proposed by the Company, particularly given they are unsupported.

Q. Please explain what reliance the Company places on its load growth forecasts and how this impacts the forecast level of electric capital spending.

A. As explained at page 46 of the Direct Testimony

of the EIO Panel, a major driving factor for the forecast capital spend is the Company's expectation of heightened load growth relative to historical levels:

> The purpose is to explain the electric system summer peak and network independent summer peak demand forecasts, which are fundamental drivers for the electric infrastructure discussed by this Panel and in accompanying whitepapers.
>
> [Emphasis added]

Based on the Company's load growth assessment, it believes that load will grow based on the following projected trends (See Direct Testimony of the EIO Panel, at 48):

> The November 2024 electric system summer peak demand forecast predicts load to grow at a compounded annual growth rate ("CAGR") of approximately 1.0 percent over the next five years (2025-2029). The forecasted CAGR for the next 10 years (2025-2034) is 1.3 percent and the forecasted CAGR for the next 20 years (2025-2044) is 1.2 percent. The forecasted electric system peak demand forecast is 12,610 MW for the summer of 2025, 13,190 MW

> for the summer of 2029, 14,200 MW for the summer of 2034, and 15,930 MW for the summer of 2044.

To provide context for the applied for increase in load I am providing Exhibit__(DMM-9), which is derived from the Company's response to UIU-6-52, Attachment 1. Based on Exhibit_(DMM-9) the Company's summer peak system demand increased by just 1.68 percent from 2020 to 2024, which is an average annual growth rate of approximately 0.43 percent. Therefore, the forecasts represent single year growth rates that nearly outpace the last five years of growth and a rate that is almost triple the historical average growth rate.

Q. Please explain why the Company's load growth assumptions are unreasonable.

A. The Company's load growth rates are unreasonable for two reasons. First, as noted above, the Company's load growth rates are increasing at a much greater rate than has been historically

experienced. While I appreciate that future trends may change, and I do not deny that the Company may experience some increase in load relative to historical trends, the reality is that load growth will vary into the future as it has historically. The variations are often triggered by changes in the economy, political changes, technological changes, or various other factors which may impact the actual load growth experienced by a utility.

Second, as I demonstrate in Exhibit_(DMM-10), which is based on the Company's response to UIU-6-54 Attachment 1, the Company has a long history of over forecasting its load growth. I am aware of no compelling reason to expect a meaningful change in this trend going forward and for this reason, I conclude that the Company's load growth forecast is almost certainly overstated, as they always have been.

As shown in Exhibit__(DMM-10), the Company

forecast load growth to be higher than it actually was by 4.2 percent in 2020, 3.5 percent in 2021, 3.3 percent in 2023, and 0.7 percent in 2024. The only year where the actual load growth was higher than forecast was 2022, when load was 1.3 higher than forecast.

The overall trend over the last five years suggests that the Company over forecasts its load growth by 2.1 percent on average per Exhibit__(DMM-10). Perhaps most notable is that in 2019 the Company projected its peak summer demand would be 7,477 in 2020, and that level in total has not even been achieved by 2024, which experienced an actual peak of 7,281, which remains 2.62 percent less than the level the Company expected to be at back in 2019 for the following year (2020).

I also note that between the various stations reported by the Company, the variation in load

forecasts is high between the forecast and actual load experienced. This trend suggests that the Company has difficulty both forecasting total load growth but also load growth by station.

One notable example is West 42nd Street No. 1. In 2020 the Company forecast a summer peak of 180, which was 26.3 percent higher than actual peak demand. The Company continued to forecast the peak demand to be near 180 in 2021, 2022, and 2023, when actuals fell well short. It was not until 2024 that the actual peak exceeded 180 with an actual of 181, despite the Company expecting the peak to be 174 for a 4.3 percent variance.

In summary, I consider it difficult to place any degree of reliance on the Company's load growth forecasts particularly to the extent those forecasts are relied upon by the Company to support a dramatic increase in forecast capital spending.

Q. Has the Company provided its own estimate of the impact of changing the load growth assumptions on the capital forecast?

A. No. The UIU sought to obtain this information in response to UIU-6-55, but the Company refused to provide the requested information. Considering the Company's requested level of capital spending and the connection that capital spending has to the forecast load growth, it is difficult to understand how its load growth assumptions impact its forecast capital spending without such information. Absent such information, it is appropriate to assess forecast capital spending levels based on historical trends, which suggest much lower levels of load growth.

Q. Please explain the difference between a risk-based approach and a just-in-time approach to forecasting capital.

A. The EIO Panel at page 69 states the following in respect of its change in forecasting methodology

for electric capital from a just-in-time to a risk-based approach:

> Given all these uncertainties, the Company is taking a risk-based approach to project planning that results in some projects being selected for execution earlier than might historically have been selected under planning focused more on "just in time" project execution. Under this risk-based approach, some projects have been identified for full implementation earlier in case the need they are designed to alleviate materializes earlier than forecasted. Other projects may be planned to be initiated earlier but completed when originally planned, with execution extended over a longer duration than plans for similar projects in the past to mitigate potential project execution risks such as the need to procure property for new substations. The scope and costs of these risk-adjusted projects are, generally, not expected to be materially impacted by the timing adjustments.

As the Company explains above, a risk-based approach to forecasting the execution of capital assumes that some projects may be required sooner than is assumed under a just-in-time approach. Thus, a risk-based approach accelerates the

construction of assets by accelerating the project timeline.

Q. Please explain why a risk-based approach, rather than a just-in-time approach, is not in the public interest.

A. A risk-based approach inherently relies on assumptions regarding expected load growth and other variables. As explained earlier, the Company has historically forecast load growth incorrect, and in my opinion, materially so. If the risk-based approach is based on incorrect or unreasonable forecasting assumptions, then the risk-based approach will result in an unnecessary acceleration of capital.

Conversely, the just-in-time approach allows the Company to weigh information on a real time basis rather than rely on forecasts that are likely to be wrong. While there are risks to a just-in-time approach, those risks are reasonable given the

need to balance costs to customers of constructing assets in advance of their need. Additionally, based on the testimony of the EIO Panel at pages 17-19, I understand that the distribution system is designed with redundancies permitting the system to continue to operate even under peak system loads and the loss of any two distribution feeders. I expect these redundancies permit the Company some leeway in its approach to addressing unplanned changes in peak demand on a just-in-time basis rather than on a risk-based basis.

Q. Did the Company quantify the impact of its change in forecasting methodology on its applied for electric capital?

A. No. In response to UIU-6-58 the Company refused to revise its forecast to remove the risk-based forecast and return to a just in time forecast. This refusal makes it difficult to fully assess and understand the impact of the Company's proposed change on the timing of capital projects

included in the rate years relative to the status quo. Thus, it also makes it difficult to assess on an aggregate and project-by-project basis whether the Company's request is reasonable.

Q. Beyond the change in forecasting methodology, are there any other unreasonable assumptions contained in the capital forecast? Please explain.

A. Yes. The EIO Panel at page 68 states the following in respect of its ability to achieve the electric capital forecast:

> However, one unquantifiable uncertainty that must also be planned for, to the extent possible, is the complexity of undertaking the projected volume of capital projects needed to meet upcoming customer needs while also meeting clean energy, resiliency, and other high-priority goals. While the complexities and the associated challenges involved in executing the number and size of projects proposed for T&D during the rate period cannot be modelled and planned for, we can ensure that we are not planning each project to begin "just in time" – i.e., when the project

> might be planned to start if there was no competition for resources – and possibly create our own impediments and resource shortages.

As stated above, the Company believes that "executing the number and size of projects proposed for T&D during the rate period cannot be modelled and planned for". This statement is concerning, as I would expect the Company to first model and plan for the realistic execution of the capital projects before presenting a forecast of those projects for approval by the Commission.

As explained earlier, in response to UIU-6-57, the Company failed to adequately explain how it would successfully execute on its forecast capital in the rate years. The description below, as well as the white papers provided by the Company, is not a clear plan. It is just a description of what will be spent and when, not how that result will be practically achieved:

> Detailed plans for capital spending in each of the three rate years, including the schedule and timing (i.e., feasibility) for each proposed investment and other considerations, are provided in the associated white papers provided by the Company in its initial and update exhibits in this proceeding. Detailed Staffing plans for additional resources needed to support electric operation's investments are also provided in our initial and update exhibits.

In my opinion, the Company appears to be presenting a non-prioritized list of capital projects, rather than a thoughtfully planned forecast of capital that will actually be achieved given all the various other challenges and uncertainties that the Company will experience in the rate years. In other situations, I have characterized similar approaches by other utilities as the presentation of a "wish list". I do not consider that this approach aligns with customer interests and the Company's obligation to manage the electric system in a safe, reliable and cost-effective manner.

Q. Please describe the approach you used to develop a revised electric and gas capital forecast in each rate year.

A. Please refer to Exhibit__(DMM-8) for a detailed revision of the Company's electric capital forecasts by project and by year. This exhibit is based on the Company's response to DPS-2-266, Attachment 1.

In the absence of more detail supporting the capital forecasts and changes proposed by the Company as outlined above, I have opted to base the majority of my recommendations on a projection of the spending beyond 2024. In so doing, I rely in large part on the historical spending levels to inform future requirements, while allowing for some reasonable increase in capital spending in the rate years.

The specific adjustments I recommend depend on my specific assessment of each type of capital

forecast and are color coded in Exhibit__(DMM-8). The following is a summary of the recommended capital adjustments I propose or where I have opted to leave the forecast as is:

i. Orange highlighted costs – Reflects projects with unsupported or unrealistic spending levels. Adjust based on escalation of average of 2024 actual and 2025 Budget using a 2 percent annual escalation rate.

ii. Blue highlighted costs – Represent projects that are approved to proceed by the Commission but have no approved budget. I accept 90% of the forecast subject to a 100% asymmetric downward reconciliation as discussed earlier.

iii. Green highlighted costs – Reflects costs that may be partially required but reflect reduced RY1-RY3 budgets to address staging and unrealistic nature of proposed budget. These are intended to in part address

projects impacted in the New Business category. For these projects I have no proposed individual project budgets and instead propose an overall budget for each year based on 60 percent of the total forecast in each rate year.

iv. Grey highlighted costs – Budget accepted as filed.

Overall, I recommend capital spending levels of $2,441,032,000 in RY1, $2,582,107,000 in RY2, and $2,678,842,000 in RY3, which are all higher than the current 2025 forecast of $2,356,669,000. These levels represent a decrease from the applied for costs of $1,519,456,000 in RY1, $1,811,691,000 in RY2, and $1,953,477,000 in RY3. Assuming the Company's pre-tax rate of return and an average depreciation rate, the impact of these reductions as shown in Exhibit__(DMM-8) is a reduction in revenues of $96,409,000 in RY1, $309,468,000 in RY2, and $551,409,000 in RY3. This

upward trend in revenue reductions is illustrative of the long-term impacts on customers of the Company's forecast capital plan.

V. ELECTRIC DA&COS PANEL

Q. Please summarize the areas of the Company's Electric DA&COS Panel Testimony that you oppose or recommend further study in relation to.

A. I am opposed to the Company's proposal to continue to treat the NYPA customers as a separate service class for cost allocation purposes. For clarity, my opposition to this treatment is not because of the result that is being achieved by the electric ECOSS. I acknowledge the legacy treatment of NYPA customers by Con Edison. This treatment was based on a historically adopted approach to setting rates.

Rather, the primary reason for my opposition is that of fairness to all customers including Con Edison service class customers and NYPA

customers, as well as the benefits to NYPA customers going forward from receiving cost-based rates. In my opinion, both NYPA customers and existing customers served by Con Edison in its own service classes would benefit from a merger of all customers into common service classes. I explain these concepts in further detail below.

Q. Please explain how the Company allocates costs in its ECOSS to the NYPA service class.

A. Like all other Con Edison service classes, the Company allocates costs to the NYPA service class based on its proportion of demand and customer driven costs.

Q. Why is it improper for the Company to treat the NYPA customers as its own service class rather than break out those customers based on the existing Con Edison service classes?

A. The key principle that every cost-of-service study seeks to comply with is that of cost

causation. The cost causation principle requires that each class of customer pay for the costs they cause. As each type of customer drives different costs on the electric system it is customary to divide those customers into multiple service classes with relatively homogenous characteristics.

The existing NYPA service class serves a wide range of customers with differing characteristics. As explained in response UIU-5-37, the Company stated:

> The requested information is not readily available. Generally, the following Company service classes have corresponding NYPA customer groups: SC2, SC5, SC6, SC8, SC9 and SC12.

These service classes have significantly different characteristics and include small general commercial customers, streetlights, very large general customers, and residential multi dwellings.

I can conceive of no principled reason why the NYPA service class remains as a singular service class from a cost causation perspective. This is because the proposed treatment would inevitably result in cross subsidization between the various subclasses served within the NYPA service class. As a simple example, the costs caused by a streetlight are very different from the costs caused by a large multi-family dwelling on the electric system.

From a practical perspective, it may have been necessary to set the initial rates based on a simplified approach for the NYPA service class, but as the Company has completed a comprehensive ECOSS for all other service classes, there appears to be no remaining reason to support the continuation of the NYPA service class as a standalone class.

If an S.C. customer is served by Con Edison or

NYPA, that customer should contribute the same towards the overall electric distribution costs. This result is fair and ensures all New York customers are treated equitably.

Finally, the treatment of NYPA customers as a separate class disadvantages those customers as the customers no longer experience the advantages of having cost-based rates. Cost-based rates provide clear signals to customers to reduce consumption where necessary and avoid causing unnecessary costs on the electric distribution system.

Q. What is the current rate of return (ROR) for the NYPA service class?

A. The current ECOSS ROR for the NYPA service class is 8.82 percent compared to the system average ROR of 10.71 percent.

Q. Does the NYPA service agreement permit the Company

to alter the rate design for the NYPA service class?

A. Yes. The NYPA service agreement was provided by the Company in response to UIU-5-36 Attachment 1. Based on a review of the service agreement, I note that at PDF pages 34-36 of the agreement, it explains the determination of Con Edison charges for delivery services. From a review of these terms, it appears that the original agreement set the initial rates as a single NYPA service class and all subsequent revisions to the rates were based on the Commission's determination of what is reasonable. Specifically, at PDF page 36 of UIU-5-36, Attachment 1, the agreement states:

> Con Edison and the Authority agree to accept as a matter of contract that the Commission will determine whether the rates are excessive or deficient and such rates may take effect on such date as directed or authorized by the Commission subject to review by FERC in accordance with the Federal Power Act and the rules, regulations and orders of that agency and any judicial review, but this shall not be deemed a recognition by the Authority or Con

> Edison of the jurisdiction of the Commission over the Authority or over the contract.

In my opinion, the service agreement confirms that there are no barriers to the Company proposing a cost allocation and rate design approach that is based on the NYPA service class being broken into the various Con Edison service classes. The only barrier to such a determination appears to be whether the Commission confirms that such a result would be reasonable.

As I explained above, the continued aggregation of multiple different service classes and customer types into a single service class violates the principle of cost causation. It also guarantees that some customers served in the NYPA service class cross subsidize other customers, which is not in the public interest.

Finally, I note as explained earlier that the NYPA

service class is currently well below the system average ROR. I expect that if the NYPA service class customers were moved into their respective Con Edison service classes, that there would be an immediate correction to this imbalance. This is because the revenue received from the customers would increase relative to the overall costs assigned to the broader NYPA service class.

I also acknowledge that a more detailed ECOSS would be required for the NYPA service class to confirm any required changes to the overall allocation of costs to all service classes inclusive of the NYPA customers.

Q. Please further explain how the ECOSS ROR indications for the NYPA service class compare to those service classes that the Company has explained as being included in the NYPA service class.

A. Based on the ECOSS, the average operating income

over rate base (i.e., ROR) for SC2, SC5, SC6, SC8, SC9 and SC12 is 11.774%, which is well above the system ROR of 10.71% and the NYPA ROR of 8.82%.

These results suggest that if the NYPA service class was broken into the comparable service classes served by the Company and those NYPA customers paid rates consistent with the Con Edison service classes, then all else being equal, there would be an increase in revenues attributable to the NYPA customers.

Q. Please summarize your recommendations in relation to the NYPA service class.

A. I recommend that the Commission direct the Company to conduct a revised ECOSS that breaks down the NYPA service class as currently included in the ECOSS into the existing Con Edison service classes, including SC2, SC5, SC6, SC8, SC9 and SC12.

I recommend these changes be implemented during this one year rate plan, or if not possible due to the practical concerns I outline below, then as part of a three-year rate plan, no later than the second rate year of the plan. At minimum, I recommend these changes be implemented by the Company's next rate proceeding.

Q. If your recommendations are approved will the NYPA service class customers be treated equally and fairly relative to other Con Edison customers?

A. Yes. While the net result of this proposal at this time may be that the NYPA service class customers experience an above average rate increase, that result would be tempered in part moving specific NYPA customers into its comparable Con Edison service classes. Further, the uniform treatment of all customers with a specific Con Edison Service Class will greatly enhance the transparency of the cost allocation process going forward and prevent any unfair treatment. My

proposal would also remove any real or perceived conflicts of interest between customers served by Con Edison that have common interests and cause similar costs on the electric system.

Importantly, regardless of whether the NYPA service class is above, below, or at the system average my recommended treatment would be the same. The principles I discuss above of cost causation, fairness, and transparency apply regardless of whether a service class is over or under contributing to overall costs.

Q. Are there any implementation issues for your recommendation to break out the NYPA service class into the Con Edison service classes?

A. Yes. Regarding the information that would be required to break out the NYPA service class, in response to UIU-5-38, the Company explained:

> To produce an ECOS study that merges the CECONY and NYPA classes, new data would need to be developed (such as a

> new demand analysis and a new ECOS revenue price out, including consideration of potential bill impacts). Thus, the requested information is not readily available and would necessitate a special study.

My recommendation cannot be implemented until the special study noted by the Company is completed. From the explanation provided by the Company, I consider that the work required to complete the limited demand analysis, ECOS revenue price out, and bill impact analysis would be limited. Given my earlier stated concerns regarding the lack of cost causative rates and cross subsidization, as well as the lower ROR for the NYPA service class, I recommend this work be completed as soon as possible.

VI. GAS RATES PANEL

Q. Please summarize the areas of the Company's Gas Rates Panel Testimony that you oppose or recommend further study in relation to.

A. The Gas Rates Panel Testimony relies on an

unsupported classification of costs between customer and demand-related.

Q. Please elaborate on why you consider the classification to be unsupported.

A. As part of UIU-5-35, UIU asked the Company to describe in detail all support it relied upon for the classification of costs related to both electric and gas accounts. In response to UIU 5-35, the Company stated:

> Please see Exhibit__(GRP-1), page 8 of 81, under Line 6, Distribution-Demand, Line 7, Distribution-Customer, and Line 8, Services. The Company applies this methodology to the gas mains, FERC account 376-Mains and 380-Services. Please see Company's response to UIU-1-8, attachment "Workpapers for Exhibit___(GRP-1), Schedule 1, Page 11 for the Minimum System support.

Based on a review of the referenced material, Exhibit__(GRP-1), page 8 of 81, Line 7, Distribution-Customer states the following:

> The Distribution Customer ("Customer Component") consists of the distribution mains system that would

> be required to connect gas customers with a minimum predominant size pipe, regardless of their demand for gas. It is apportioned to the classes based on a study of the number of service connections for each class and the associated relationship of the length of mains for residential and commercial customers.

Within the workpapers provided in response to UIU-1-8, the only support provided by the Company for the customer-related component is a calculation of the "Steel, cast iron, copper, and plastic mains" based on what the Company considers to be a minimum size. This information is then compared to the total cost to estimate the customer component.

What the Company does not explain is why this approach to determining the customer-related distribution main costs is reasonable. Notably, it is abundantly clear from the type and quantity of pipe installed by the Company that it does not ordinarily install the minimum sized

pipe that it has identified. Rather, it appears that the majority of the installed pipe is much larger.

The minimum system approach relied upon by the Company thus does not reflect the reality of how it operates the system. More specifically, the Company identifies a significant amount of assets as being the minimum system supporting customers, but the Company rarely constructs assets at this size, and instead the assets are constructed to meet an overall level of demand. Therefore, the minimum system approach used by the Company arbitrarily increases the classification of costs as customer-related costs.

Q. Do you support the Company's proposed minimum system study approach to classifying customer and demand-related costs?

A. No. As explained above, the approach used by the

Company appears arbitrary, does not align with the actual intended deign of the gas system, and likely materially misstates the level of customer-related costs.

Q. What do you recommend the Commission do to address this inconsistency?

A. I recommend the Commission direct the Company to provide further information as part of its next gas ECOSS that better estimates the customer-related component of the costs based on how the system is actually designed, not based on a notional and arbitrary approach to assigning costs to a minimum system. For example, the Company could apply the basic customer method and assign only those specifically identifiable customer-related costs as such, if there is clear evidence of a causal relationship, beyond a minimum system study. This approach would be much more precise than the approach used by the Company.

I note that this approach may better align the ECOSS customer charge indications for the various classes with the customer charges proposed as part of the Company's rate design.

Q. Does this conclude your direct testimony, which was prefiled with the Commission on May 30, 2025?

A. Yes.